Syllabus Edition
First teaching 2025
First exams 2027

Not your syllabus?

Sources of Finance

Exam code: 0450, 0986 & 0264, 0774

Download PDF

Written by: Lisa Eades
Updated on 28 August 2025

Internal sources of finance

- **An internal source of finance is money that comes from within a business such as owners capital, retained profit and money generated from selling assets**
- **An external source of finance is money that is introduced into the business from outside such as a loan or share capital**

Owner's investment

- Personal savings are a key source of funds when a **business starts up**
  - Owners may introduce their savings or another lump sum, e.g. money received following a **redundancy**
- Owners may invest more as the **business grows** or if there is a specific need, e.g. a short-term **cash flow** problem

Retained profit

- **Retained profit is the profit that has been generated in previous years and not distributed to owners is reinvested back into the business**
- This is a cheap source of finance, as it **does not involve borrowing** and associated **interest** and arrangement fees
- The **opportunity cost** of investing the money back into the business is that **shareholders do not receive extra profit** for their investment

Sale of unwanted assets

- Selling fixed **assets** which are no longer required, such as machinery, land or buildings, generates finance
- A **sale and leaseback arrangement** may be made if a business wants to continue to use an asset but needs cash
  - The business **sells an asset** (most likely a building) for which it receives cash

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

in talks to **sell the prime retail property** for £500 million, which will then be **leased back** to them by the new owners, LXi Reit

- Stock may be sold at reduced prices to raise additional finance
- This reduces stockholding costs
  - It must be done carefully to avoid disappointing customers if stock runs low
  - E.g. A clothing retail business holds a January sale to get rid of old stock and make space for new Spring stock

Managing working capital

- A business can also generate additional finance internally by managing its **working capital** more effectively
  - They can **negotiate extended credit terms** with suppliers
  - They can encourage customers to **pay more promptly** for credit purchases

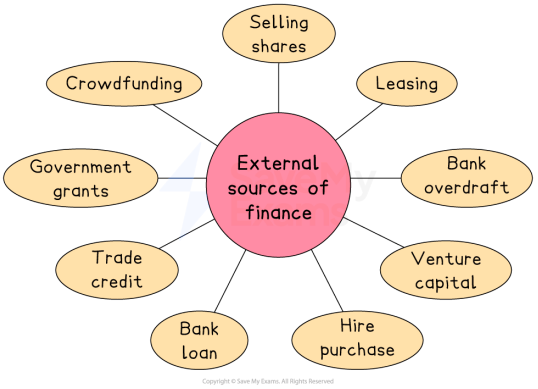
Evaluating the use of internal finance

Advantages	Disadvantages
• Internal finance is **often free** (e.g. it does not involve the payment of interest or charges) • It does not involve third parties who may want to **influence business decisions** • Internal finance can often be **organised quickly** and without significant paperwork • Businesses that may **fail credit checks (necessary for a bank loan)** can access internal finance sources more easily	• There is a **significant opportunity cost** involved in the use of internal finance e.g. once retained profit has been used, it is not available for other purposes • Internal finance **may not be sufficient** to meet the needs of the business • Using an internal finance method is **rarely as tax-efficient** as many external methods e.g. loan repayments may be treated as a business cost and offset against tax

Help me understand

External sources of finance

- In some cases, a business **may not be able to fulfil its needs with internal sources** of finance
  - Some projects or investments may require a **significant amount** of finance



External sources of finance include selling shares, borrowing (e.g. loans and overdrafts)and trade credit

External sources of finance

Selling shares

- A public limited company (PLC) can raise finance by selling shares on the stock market
  - This method can generate large amounts of capital but requires the business to follow strict legal and financial regulations
- Another method is a **rights issue**, which allows existing shareholders the opportunity to buy additional shares
  - This helps raise further finance without bringing in new shareholders

Venture capital

- Private limited companies can sell shares to **venture capitalists**
  - These investors often bring experience, guidance and business contacts as part of the investment
- Venture capital is especially useful for new or fast-growing businesses that may be considered too risky by traditional lenders such as banks

Bank overdraft

- A bank overdraft is an agreement that allows a business to spend more money than it has in its current account
- Overdrafts are flexible and useful for covering short-term cash flow problems
- However, they often come with daily interest charges, so using an overdraft for a long time can be more expensive than other sources of finance

Leasing

- Leasing allows a business to use assets like machinery or vehicles without owning them
  - The business pays regular amounts for the use of the asset over an agreed period
  - It can help preserve cash as the business avoids large upfront costs

Hire purchase

- Hire purchase is a way for businesses to buy expensive assets by spreading the cost over time
  - Payments are made in regular installments, and ownership of the asset only passes to the business once the final payment has been made

Bank loan

- A bank loan is a lump sum borrowed from a bank and repaid over an agreed period, with interest
- Loans can be short-term or long-term, depending on the needs of the business
- The bank must approve the loan application, and repayments must be made regularly, including interest charges

Trade credit

- Trade credit is an agreement between a business and its suppliers that allows the business to delay payment for goods or services
  - The credit period is usually 30, 60, or 90 days
- This improves the business's cash flow by allowing it to sell products before paying suppliers

Government grants

- Government grants are sums of money given to businesses by governments or other public organisations
- They do not usually have to be repaid, but are often given under certain conditions
  - For example, a business might be required to locate in a specific area or create jobs for local people to qualify for the grant

Crowdfunding

- Crowdfunding is a way to raise finance by collecting small amounts of money from a large number of individuals, often through websites like Kickstarter
  - Businesses promote their ideas with a strong business plan to attract investors
  - In return, investors may receive early access to products, samples, or other rewards rather than a financial return

Evaluating the use of external finance

Advantages	Disadvantages
• External finance can provide **large amounts of capital** that may not be available internally • It allows a business to **retain its cash reserves** for emergencies or future opportunities	• Most external sources involve **interest payments, fees** or **charges**, increasing the overall cost • Lenders or investors may require **financial information and**

interest can often be offset against tax • It enables **longer-term growth** and investment without harming short-term cash flow	• The process of applying for external finance can be **slow and involve significant paperwork** • Some sources, such as selling shares, may result in a **loss of control or ownership**

Factors affecting the choice of the source of finance

Factor	Explanation
Size of the business	• **Small businesses** have fewer choices because they may not be trusted by lenders or investors • **Large businesses** usually have more options, such as issuing shares, getting large bank loans or attracting outside investors
Legal form of the business	• **Sole traders and partnerships cannot raise money by selling shares** • Only limited companies, such as private limited companies (Ltd) or public limited companies (PLCs), are allowed to sell shares to raise capital • Some sources of finance, such as venture capital, are only **available to registered companies** with legal protection
Amount required	• If the business only needs a small amount, such as to buy stock or pay a bill, it may choose a bank overdraft or trade credit • If a **large amount** is needed, such as to buy a building or new machinery, then a **long-term loan** or **issuing shares** may be more suitable
Length of time required	• Finance needed for less than one year is called **short-term finance**, and options like bank overdrafts or trade credit are often used • If the business needs finance for more than one year, it will usually choose **long-term options such as loans**, leasing or selling shares

	• High levels of existing debt can also increase financial risk and make repayments difficult
Cost of finance	• A business must consider **how much finance will cost** and try to choose the most affordable option • Some, like bank overdrafts, have **high interest rates** • Others, like retained profit, have no extra cost at all
Purpose of finance	• Finance used to buy a machine might be best sourced through leasing or a loan • If the business needs money to pay for a short-term project, it may use an overdraft or existing cash

Examiner Tips and Tricks

Avoid the misconception that all businesses can access all sources of finance – examiners reward answers that link the **choice of finance** to factors like business size, legal form, and amount required

Recommending an appropriate source of finance

Case Study

StyleWise – Choosing Finance for New Equipment

StyleWise is a small clothing retail business that sells fashion items in-store and online. Its owner, Maggi, wants to invest in **new point-of-sale (POS) systems and security equipment** to improve customer service and reduce theft. The total cost of the capital equipment is **€20,000**.

- Maggi is considering three possible sources of finance

Option	Description
Retained profit	• The business has saved €22,000 from past profits, which could cover the full cost of the new equipment
Bank loan	• The business could borrow €20,000 from the bank and repay it over four years with interest
Leasing	• StyleWise could lease the equipment and pay a monthly fee to use it, without owning it

Recommendation

- Retained profit would allow the business to buy the equipment immediately without taking on debt or paying interest
  - This avoids future financial pressure and keeps overall costs low
  - It will reduce the company's savings, but the business has enough profit available to cover the purchase
  - A bank loan would increase costs through interest, and leasing would not provide ownership and could be more expensive over time
- For this one-off, essential purchase, retained profit is the most cost-effective and low-risk choice

Teacher only

New! Exclusive Teacher-Only Questions

- Fresh, expert-written questions
- Students can't access them
- Fair accurate tests - built fast

Explore in Test Builder →

Test yourself

Flashcards

Was this revision note helpful? Yes No

Resources

Learning Hub
Scholarship
Join
Past Papers
Solution Banks
Sitemap

Dashboard

Overview
Brand ambassador
Profile
Subscription
Settings
Log out

Company

About us
Exam Specificity
Content Quality
Promotions
Jobs
Terms
Privacy
Cookie Policy
Help and Support

Subjects

Biology
Chemistry
Physics
Maths
Geography
English Literature
Psychology
All Subjects

© Copyright 2015–2026 Save My Exams Ltd. All Rights Reserved.
Neither IBO nor College Board were involved in the production of, and do not endorse, the resources created by Save My Exams.